

AI in Community Banks and Credit Unions: Scenario Reference

Nine operating scenarios, recommended controls, and their mapping to the Upstate AI Requirements Matrix (v6.9).

Version	September 2026
Underlying reference	AI Requirements Matrix v6.9 (as of 2026-09-25)
Audience	Community bank and credit union leadership
Status	General information; not legal advice

1. Introduction

1.1 Purpose

This document describes nine situations that community banks and credit unions commonly encounter as AI enters their software and daily work. For each situation it states the risk, the recommended controls, and the governance actions in the underlying requirements matrix that those controls trace to.

1.2 Audience

Chief executives, board members, and risk, compliance, lending, operations, and technology leaders at community banks and credit unions.

1.3 How to use this document

Select an AI tool the institution uses or is considering. Identify the relevant sections and review them with the people responsible for the tool, using its approval record and most recent review. Record gaps and assign follow-up owners. Sections 2 through 10 follow a fixed structure: Situation, Risk, Recommended controls, and Governance reference. Appendix A maps every section to matrix actions and sources.

1.4 Scope and limitations

This document is general information, not legal advice. Applicability of any rule depends on the institution's charter, regulators, footprint, and activities; confirm obligations with counsel and the institution's regulators. Grades in the matrix (MUST, SHOULD, COULD, DORMANT, WATCH) are profile-specific and are not reproduced here. Citations are limited to those that appear in the matrix; where a scenario has no direct matrix action, this is stated.

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About Upstate AI

PART 1: INTRODUCING AI

2. Staff use of general-purpose AI tools

2.1 SITUATION

An employee identifies an AI writing assistant that could help draft customer emails. The institution has not stated which tools are permitted or which information may be entered into them.

2.2 RISK

Without stated rules, staff may use unapproved tools on their own, including with customer information, or abandon a useful tool. No owner is accountable for the decision.

2.3 RECOMMENDED CONTROLS

1. Define which tools staff may use and which information may be entered into them.
2. Assign an owner to each AI system and agree with the board on the level of AI risk the institution will accept.
3. Keep approvals and reviews in one place within the existing risk program.

2.4 GOVERNANCE REFERENCE

Matrix item	Description (as stated in matrix)
A-01	Stand up an AI governance program: written framework inside ERM, genAI acceptable use policy, named owner per AI system, board-approved AI risk appetite, board reporting, data rules for AI.

Matrix rules: R-GOV-01, R-GOV-02, R-GOV-04, R-GOV-05, R-GOV-08, R-BRD-01, R-DAT-01, R-DAT-02, R-DAT-03

Sources mapped to these rules in the matrix (selected):

- CSBS AI Supervisory Framework V1.0 (Examiner Work Program)
- NIST AI Risk Management Framework 1.0 (NIST AI 100-1); NIST Generative AI Profile (NIST AI 600-1)
- FFIEC IT Examination Handbook, Architecture, Infrastructure, and Operations booklet
- SR 26-2 / OCC Bulletin 2026-13, Revised Guidance on Model Risk Management
- NCUA Artificial Intelligence (AI) resource page
- NYDFS Industry Letter: Cybersecurity Risks Arising from AI

PART 1: INTRODUCING AI

3. AI features in existing vendor software

3.1 SITUATION

A software update to the fraud platform or customer-management system adds AI features. The institution did not purchase them separately, so they are not recorded in its AI inventory. The same applies to tools staff have started using on their own.

3.2 RISK

The institution cannot govern AI it does not know about. Vendor-embedded and staff-added tools can affect credit decisions, sensitive customer data, or fair treatment without review.

3.3 RECOMMENDED CONTROLS

- 1. Ask vendors which AI features are available, which are enabled, and what data they can access.
- 2. Record vendor features and staff-added tools in the inventory alongside systems the institution built.
- 3. Prioritize review of uses that affect credit, sensitive customer data, or fair treatment.

3.4 GOVERNANCE REFERENCE

Matrix item	Description (as stated in matrix)
A-02	Keep one AI inventory covering in-house, vendor-embedded and shadow AI; tier every entry by risk and flag consumer-decisioning, NPI or protected-class use.

Matrix rules: R-INV-01, R-INV-02, R-INV-03, R-INV-04, R-INV-05, R-GOV-03

Sources mapped to these rules in the matrix (selected):

- CSBS AI Supervisory Framework V1.0 (Core Examiner Guide, Examiner Work Program, Risk Tiering Worksheet)
- SR 26-2 attachment, Revised Guidance on Model Risk Management; OCC Bulletin 2026-13
- Proposed Third-Party Risk Management Guidance (OCC, Fed, FDIC, NCUA)
- NIST AI 100-1; Treasury / CRI FS AI RMF Risk and Control Matrix v1.0
- NYDFS Industry Letter: Cybersecurity Risks Arising from AI

PART 1: INTRODUCING AI

4. Approval of an AI pilot

4.1 SITUATION

A team is ready to launch an AI pilot, and compliance is learning of the project for the first time. Questions about privacy and fair lending return the project to earlier stages.

4.2 RISK

An AI use goes live, or nearly does, before anyone has assessed its fair lending, consumer protection, or privacy exposure, and without agreed launch criteria.

4.3 RECOMMENDED CONTROLS

- 1. Designate a contact for proposed AI uses and identify who must review each one.
- 2. Match the legal, fairness, and privacy review to the proposed use.
- 3. Agree on launch criteria before testing begins. Include fair lending specialists for credit uses and advertising review for customer-facing claims.

4.4 GOVERNANCE REFERENCE

Matrix item	Description (as stated in matrix)
A-03	Gate every AI use case through a pre-deployment review: legal/consumer protection, fairness and privacy, go/no-go thresholds set before launch; re-review on material change.
A-03.1	Document legal/regulatory review and set go/no-go thresholds before any AI use goes live (binding sub-control of A-03).

Matrix rules: R-FAIR-02, R-FAIR-03, R-FAIR-05, R-DAT-03, R-MRM-03, R-MRM-04; R-GOV-06, R-GOV-07

Sources mapped to these rules in the matrix (selected):

- CSBS AI Supervisory Framework V1.0 (Core Examiner Guide)
- CFPB, Chatbots in consumer finance (Issue Spotlight)
- FTC v. Rite Aid Corporation (stipulated order); FTC Operation AI Comply
- Treasury, Artificial Intelligence in Financial Services (report on RFI)
- NIST AI 100-1; NIST AI 600-1; Treasury / CRI FS AI RMF Risk and Control Matrix v1.0

PART 2: EVERYDAY USE

5. Reliance on vendor test results

5.1 SITUATION

A vendor provides test results for a model. The tests may have used data or customer populations that differ from the institution's own.

5.2 RISK

The institution relies on a vendor model that no one at the institution has tested against its intended use or can explain.

5.3 RECOMMENDED CONTROLS

- 1. Validate models before use, with testing proportionate to risk.
- 2. Review vendor evidence, test cases relevant to the intended use, and record limitations.
- 3. Include support, model changes, and ongoing review in vendor management.

5.4 GOVERNANCE REFERENCE

Matrix item	Description (as stated in matrix)
A-04	Validate models before use and scale depth to tier; hold vendor models to the same standard via lifecycle TPRM and due diligence.
PB-02	Playbook: Vendor will not share model (linked to A-04, A-05).

Matrix rules: R-MRM-01, R-MRM-02, R-MRM-05, R-TPV-01, R-TPV-02, R-TPV-03

Sources mapped to these rules in the matrix (selected):

- SR 26-2 cover letter and attachment; FDIC FIL-15-2026
- OCC Bulletin 2025-26, Model Risk Management: Clarification for Community Banks
- Interagency Guidance on Third-Party Relationships: Risk Management (2023)
- Proposed Third-Party Risk Management Guidance (FR 2026-18859)
- NCUA Artificial Intelligence (AI) resource page; NIST AI 100-1

PART 2: EVERYDAY USE

6. Adverse action notices for AI-assisted credit decisions

6.1 SITUATION

A borrower is declined, and the notice does not explain what drove the decision. The lending team must trace the decision and provide the required reasons.

6.2 RISK

Use of AI does not change fair lending or notice obligations. Reasons that do not reflect the actual decision, or inputs that act as proxies for protected characteristics, create exposure under ECOA and Regulation B.

6.3 RECOMMENDED CONTROLS

1. Test for unfair outcomes and for inputs that may stand in for protected characteristics.
2. Confirm that the reasons in the notice reflect the actual decision.
3. Meet applicable Equal Credit Opportunity Act (ECOA) and Fair Credit Reporting Act (FCRA) notice requirements and retain supporting records.

6.4 GOVERNANCE REFERENCE

Matrix item	Description (as stated in matrix)
A-05	For any AI touching credit: test inputs for proxies, produce specific principal reasons for adverse action, give ECOA and FCRA notices, retain records.

Matrix rules: R-FAIR-01, R-EXP-01, R-EXP-02, R-EXP-03, R-EXP-04, R-REC-02

Sources mapped to these rules in the matrix (selected):

- Regulation B (ECOA), 12 CFR 1002.9, including 1002.9(a)(2)(i) and 1002.9(b)(2)
- Regulation B, 12 CFR 1002.12(b)(1)(i) (record retention)
- Regulation B Official Interpretations (Supplement I)
- CSBS AI Supervisory Framework V1.0 (Examiner Work Program); NIST AI 100-1
- Note: CFPB Circular 2022-03 is withdrawn; the matrix re-cites those rows to Reg B 12 CFR 1002.9.

PART 2: EVERYDAY USE

7. Customer handoff from a chatbot

7.1 SITUATION

A chatbot gives a customer incorrect fee information. The customer must find someone who can resolve the issue and often repeats the conversation.

7.2 RISK

Chatbot errors about rates, fees, or terms are the institution's statements. A customer who cannot reach a person has no practical recourse.

7.3 RECOMMENDED CONTROLS

- 1. Check answers against approved rates, fees, and terms, and define where human review is required.
- 2. Require human approval before AI takes a consequential action.
- 3. Provide a clear path to staff, with the conversation history passed to them.

7.4 GOVERNANCE REFERENCE

Matrix item	Description (as stated in matrix)
A-06	Put humans in the loop by design: review of genAI output before reliance, agent permission maps with approval before consequential actions, path to a human for customers.
PB-04	Playbook: Customer recourse for AI-influenced decisions (linked to A-05, A-06, A-07).

Matrix rules: R-HUM-01, R-HUM-02, R-HUM-03, R-HUM-04, R-EXP-05

Sources mapped to these rules in the matrix (selected):

- CFPB, Chatbots in consumer finance (Issue Spotlight)
- CSBS AI Supervisory Framework V1.0 (Examiner Work Program)
- Treasury / CRI FS AI RMF Risk and Control Matrix v1.0
- Existing Obligations sheet: UDAAP / FTC Act Section 5 (linked to A-06, A-10)
- State and EU sources mapped in the matrix (Utah AI Policy Act, CCPA ADMT regulations, EU AI Act) apply only where in footprint.

PART 2: EVERYDAY USE

8. Monitoring AI after launch

8.1 SITUATION

A tool that passed testing begins to make more errors. Staff correct them individually, and no one records the pattern. A data change or vendor update may be the cause.

8.2 RISK

Model performance drifts without detection. No one has authority or written criteria to pause the tool, and no fallback has been tested.

8.3 RECOMMENDED CONTROLS

1. Track performance and give staff a way to report errors and near misses.
2. Set review triggers and name a person with authority to pause the tool.
3. Test the fallback process before it is needed to pause or retire the system.

8.4 GOVERNANCE REFERENCE

Matrix item	Description (as stated in matrix)
A-07	Monitor in production: drift and performance metrics, incident and near-miss log, deactivation criteria, feedback/appeal channel, decommission procedure.
A-07.1	Log AI errors, near misses and incidents; write deactivation criteria (binding sub-control of A-07).

Matrix rules: R-MON-01, R-MON-03, R-MON-04; R-MON-02

Sources mapped to these rules in the matrix (selected):

- SR 26-2 attachment, Revised Guidance on Model Risk Management
- CSBS AI Supervisory Framework V1.0 (Examiner Work Program)
- Proposed Third-Party Risk Management Guidance (OCC, Fed, FDIC, NCUA)
- FTC v. Rite Aid Corporation (stipulated order)
- NIST AI 100-1; NIST AI 600-1; Treasury / CRI FS AI RMF Risk and Control Matrix v1.0

PART 3: SECURITY AND COMMUNICATIONS

9. AI in the information security program

9.1 SITUATION

A caller can use an AI-generated voice to impersonate an executive. Internally, an AI assistant can make overshared files easier to find. The two risks differ, but both belong in existing security planning.

9.2 RISK

AI-enabled impersonation and phishing, and exposure of overshared files through AI assistants. Incident reporting deadlines differ by regulator, and the point at which the reporting clock starts must be understood in advance.

9.3 RECOMMENDED CONTROLS

- 1. Verify unusual requests through a known contact, even when the voice sounds familiar.
- 2. Review file permissions before enabling an AI assistant, and use phishing-resistant sign-in protection.
- 3. Record each regulator's reporting requirements, including what starts the clock.

9.4 GOVERNANCE REFERENCE

Matrix item	Description (as stated in matrix)
A-08	Fold AI into cyber: AI threat scenarios in the risk assessment, phishing-resistant MFA, fast remediation of exploited vulnerabilities, input validation on AI tools, staff training on AI social engineering.
A-08.1	Maintain the incident notification matrix: FDIC 36h, NYDFS 500.17(a) 72h (binding sub-control of A-08).
PB-01	Playbook: Copilot readiness (linked to A-01, A-08, A-06).

Matrix rules: R-SEC-01, R-SEC-02, R-SEC-03, R-SEC-04, R-BRD-02; R-SEC-05

Sources mapped to these rules in the matrix (selected):

- NYDFS Industry Letter: Cybersecurity Risks Arising from AI and Strategies to Combat Related Risks
- NYDFS 23 NYCRR Part 500
- Treasury AIEOG / FSSCC: Mitigating AI-Powered Attacks Against Identity and Authentication; AI Enhanced Fraud deliverable
- Existing Obligations sheet: Computer-Security Incident Notification rule (12 CFR part 53 OCC; 12 CFR part 225 subpart N Fed; 12 CFR part 304 subpart C FDIC)
- Credit union and state reporting timelines are not stated in the matrix; confirm with the applicable regulator.

PART 3: SECURITY AND COMMUNICATIONS

10. Customer communications about AI

10.1 SITUATION

A draft announcement describes AI-assisted decisions as faster or fairer. The claims have not been substantiated, whether a person or an AI tool wrote the draft.

10.2 RISK

External claims about AI that the institution cannot support, and AI-drafted customer messages sent without accuracy review. Customers will reasonably expect service to match the description.

10.3 RECOMMENDED CONTROLS

- 1. Keep evidence for each external claim about what the AI does.
- 2. Review AI-drafted customer messages for accuracy before staff send them.
- 3. Explain limitations that affect what customers can expect.

10.4 GOVERNANCE REFERENCE

Matrix item	Description (as stated in matrix)
A-10	Substantiate and review every external AI claim and every staff genAI-drafted customer communication before it goes out, through the existing advertising/compliance review.

Matrix rules: R-FAIR-04

Sources mapped to these rules in the matrix (selected):

- FTC, Operation AI Comply (press release)
- Existing Obligations sheet: UDAAP / FTC Act Section 5 (linked to A-06, A-10)

A. Appendix A: Scenario to matrix mapping

Action (A-), playbook (PB-) and rule (R-) identifiers are as they appear in the AI Requirements Matrix v6.9, sheets Actions, Playbooks, Unique Rules, and Rule Key. Sources are a selection of the documents the matrix maps to each rule; the full list is in the Rule Key and Requirements sheets.

Section	Actions	Rules	Sources (selected)
2. Staff use of general-purpose AI tools	A-01	R-GOV-01, R-GOV-02, R-GOV-04, R-GOV-05, R-GOV-08, R-BRD-01, R-DAT-01, R-DAT-02, R-DAT-03	CSBS AI Supervisory Framework V1.0 (Examiner Work Program); NIST AI Risk Management Framework 1.0 (NIST AI 100-1); NIST Generative AI Profile (NIST AI 600-1); FFIEC IT Examination Handbook, Architecture, Infrastructure, and Operations booklet; SR 26-2 / OCC Bulletin 2026-13, Revised Guidance on Model Risk Management; NCUA Artificial Intelligence (AI) resource page; NYDFS Industry Letter: Cybersecurity Risks Arising from AI
3. AI features in existing vendor software	A-02	R-INV-01, R-INV-02, R-INV-03, R-INV-04, R-INV-05, R-GOV-03	CSBS AI Supervisory Framework V1.0 (Core Examiner Guide, Examiner Work Program, Risk Tiering Worksheet); SR 26-2 attachment, Revised Guidance on Model Risk Management; OCC Bulletin 2026-13; Proposed Third-Party Risk Management Guidance (OCC, Fed, FDIC, NCUA); NIST AI 100-1; Treasury / CRI FS AI RMF Risk and Control Matrix v1.0; NYDFS Industry Letter: Cybersecurity Risks Arising from AI
4. Approval of an AI pilot	A-03, A-03.1	R-FAIR-02, R-FAIR-03, R-FAIR-05, R-DAT-03, R-MRM-03, R-MRM-04; R-GOV-06, R-GOV-07	CSBS AI Supervisory Framework V1.0 (Core Examiner Guide); CFPB, Chatbots in consumer finance (Issue Spotlight); FTC v. Rite Aid Corporation (stipulated order); FTC Operation AI Comply; Treasury, Artificial Intelligence in Financial Services (report on RFI); NIST AI 100-1; NIST AI 600-1; Treasury / CRI FS AI RMF Risk and Control Matrix v1.0
5. Reliance on vendor test results	A-04, PB-02	R-MRM-01, R-MRM-02, R-MRM-05, R-TPV-01, R-TPV-02, R-TPV-03	SR 26-2 cover letter and attachment; FDIC FIL-15-2026; OCC Bulletin 2025-26, Model Risk Management: Clarification for Community Banks; Interagency Guidance on Third-Party Relationships: Risk Management (2023); Proposed Third-Party Risk Management Guidance (FR 2026-18859); NCUA Artificial Intelligence (AI) resource page; NIST AI 100-1

A. Appendix A (continued)

Section	Actions	Rules	Sources (selected)
6. Adverse action notices for AI-assisted credit decisions	A-05	R-FAIR-01, R-EXP-01, R-EXP-02, R-EXP-03, R-EXP-04, R-REC-02	Regulation B (ECOA), 12 CFR 1002.9, including 1002.9(a)(2)(i) and 1002.9(b)(2); Regulation B, 12 CFR 1002.12(b)(1)(i) (record retention); Regulation B Official Interpretations (Supplement I); CSBS AI Supervisory Framework V1.0 (Examiner Work Program); NIST AI 100-1
7. Customer handoff from a chatbot	A-06, PB-04	R-HUM-01, R-HUM-02, R-HUM-03, R-HUM-04, R-EXP-05	CFPB, Chatbots in consumer finance (Issue Spotlight); CSBS AI Supervisory Framework V1.0 (Examiner Work Program); Treasury / CRI FS AI RMF Risk and Control Matrix v1.0; Existing Obligations sheet: UDAAP / FTC Act Section 5 (linked to A-06, A-10)
8. Monitoring AI after launch	A-07, A-07.1	R-MON-01, R-MON-03, R-MON-04; R-MON-02	SR 26-2 attachment, Revised Guidance on Model Risk Management; CSBS AI Supervisory Framework V1.0 (Examiner Work Program); Proposed Third-Party Risk Management Guidance (OCC, Fed, FDIC, NCUA); FTC v. Rite Aid Corporation (stipulated order); NIST AI 100-1; NIST AI 600-1; Treasury / CRI FS AI RMF Risk and Control Matrix v1.0
9. AI in the information security program	A-08, A-08.1, PB-01	R-SEC-01, R-SEC-02, R-SEC-03, R-SEC-04, R-BRD-02; R-SEC-05	NYDFS Industry Letter: Cybersecurity Risks Arising from AI and Strategies to Combat Related Risks; NYDFS 23 NYCRR Part 500; Treasury AIEOG / FSSCC: Mitigating AI-Powered Attacks Against Identity and Authentication; AI Enhanced Fraud deliverable; Existing Obligations sheet: Computer-Security Incident Notification rule (12 CFR part 53 OCC; 12 CFR part 225 subpart N Fed; 12 CFR part 304 subpart C FDIC)
10. Customer communications about AI	A-10	R-FAIR-04	FTC, Operation AI Comply (press release); Existing Obligations sheet: UDAAP / FTC Act Section 5 (linked to A-06, A-10)

B. Appendix B: About the underlying matrix

The governance references in this document trace to the **AI Requirements Matrix, version 6.9** (Upstate AI) (file ai-requirements-matrix-v6.9.xlsx; method as-of date 2026-09-25). The matrix records regulatory and supervisory sources relevant to AI use at US banks and credit unions, derives consolidated rules from them, and maps those rules to a core set of governance actions.

B.1 Structure

Sheet	Content
Requirements	Source rows with body, document, section citation, binding force, keyword, and a retrieved verbatim quote.
Unique Rules / Rule Key	Consolidated rules (R-) and the source rows each rule is derived from.
Actions / Conditional	Core actions (A-01 to A-10, with binding sub-controls A-01.1, A-03.1, A-07.1, A-08.1) and conditional actions (C-01, C-02).
Existing Obligations	Existing laws (by name) whose manner of compliance changes when AI is used.
Playbooks	Step sequences PB-01 to PB-04 linked to actions.
Method / Gaps	Grading method, binding-force ranking, version history, and known research gaps.

B.2 Notes on citations

- CFPB Circulars 2022-03 and 2023-03 are withdrawn. The matrix re-cites the related rows to Regulation B, 12 CFR 1002.9, and this document follows that citation.
- Supervisory guidance is non-binding under the 2021 interagency rule; the matrix ranks binding force as statute/regulation, state law, guidance, then voluntary framework.
- The matrix states that its example profiles are illustrative and that legal sign-off on MUST bases is still required for client use.
- The matrix Gaps sheet records that state AI laws were not researched in the pilot and that NCUA has no counterpart to SR 26-2.

B.3 Items with no direct matrix action

Every scenario in this document maps to at least one matrix action. Two details in the scenarios have no direct matrix entry: incident reporting timelines for credit unions and state regulators (Section 9), and controls for staff verifying voice requests (Section 9 is mapped to A-08 generally, which covers staff training on AI social engineering).

About Upstate AI

Ben Nichols, Founder & CEO, Upstate AI

Ben helps community and regional banks move from AI curiosity to AI strategy. He works with bank executives to identify high-value AI opportunities, evaluate vendors without conflicts of interest, and build the internal capability to govern and scale AI responsibly. Prior to founding Upstate AI, Ben held leadership roles at the intersection of financial services and emerging technology.

Services referenced in this document

This guide gives you the questions. We help with the answers: an inventory of the AI you already have, a design for what happens when it fails, and a check that what gets built matches that design.

Working session	30 minutes on one tool you are about to approve calendar.app.google/oNGjY8ioWCqiTkfe7
Online version	up-state-ai.com/ai-bank-story.html

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